WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

TURKEY

Eurasia

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Istanbul	Commercial and financial capital and home to the Istanbul Financial Center, whose tax advantages were extended and expanded under Law No. 7582 in June 2026	Financial services, regional headquarters, trade, technology, logistics
Ankara	Capital and seat of government; centre of a defence and aerospace industry whose exports passed $10 billion for the first time in 2025	Defence and aerospace, public procurement, engineering
Marmara industrial belt (Kocaeli, Bursa, Sakarya)	Turkey's manufacturing heartland and the base of the automotive sector, the country's largest exporter at $41.5 billion in 2025	Automotive and components, chemicals, machinery, electronics
Izmir and the Aegean coast	Major western port city and export hub with established free-zone and industrial-zone infrastructure close to EU markets	Manufacturing, agri-food processing, logistics, renewable energy
Mersin and Iskenderun (Eastern Mediterranean)	Leading Mediterranean ports linking Turkish industry to the Middle East, the Gulf and wider export markets	Port logistics, steel, petrochemicals, agri-trade
South-east and the Iraqi border	Northern terminus of the $17 billion Development Road rail and motorway corridor from Iraq's Faw port, on which construction began in 2026	Cross-border trade, logistics, construction materials, food processing
Western Black Sea (Filyos, Zonguldak)	Landfall for the Sakarya gas field, Turkey's largest domestic gas development, which is being expanded in phases	Upstream gas, energy services, industrial gas users
Investment zones nationwide	19 free zones, 392 Organised Industrial Zones and 101 technology development zones offering customs, tax and land-cost advantages	Export manufacturing, R&D, software, logistics

INVESTOR ENTRY ROUTES

- Presidency of the Republic of Türkiye Investment Office (Invest in Türkiye), the national investment promotion agency, providing facilitation and sector guidance, with a single One-Stop Office model for investors under development

- Foreign Direct Investment Law No. 4875, guaranteeing foreign investors national treatment with no minimum local shareholding requirement, supported by Turkey's membership of ICSID and MIGA
- Investment incentive certificate system offering general, regional, strategic and project-based incentives, including VAT and customs exemptions on machinery, tax reductions and social-security support for new jobs
- Law No. 7582 (June 2026), part of the Powerhouse for Investments programme, offering 95–100% corporate tax deductions for overseas trading profits and qualified regional service centres, and a 20-year exemption on foreign-source income for qualifying new residents
- Istanbul Financial Center, with a 100% corporate tax deduction on qualifying financial-services export income extended to 2047 and freedom for participants to choose the governing law of contracts with each other
- Free zones (customs and VAT exemption, 100% corporate tax exemption for manufacturers and free transfer of profits), Organised Industrial Zones and technology development zones with R&D tax exemptions until 2028
- Central Bank of the Republic of Türkiye oversight of a market-based lira; foreign investors can repatriate profits and capital, and standard hedging is advisable for local-currency exposure

MARKET-ENTRY OBSERVATION

Turkey enters late 2026 as a large, diversified and still-expanding economy. GDP grew 3.6% in 2025 to around $1.59 trillion, and growth continued at 2.5% in the first quarter and 2.3% in the second quarter of 2026, led by information and communication (+8.6%), agriculture (+13.3%) and industry (+2.4%). The September 2026 Medium-Term Programme projects growth of 3.3% in 2026 rising to 4.2% in 2027 and 5% by 2029, with the economy set to exceed $1.8 trillion this year. Exports reached a record $273.4 billion in 2025, and the 12-month total rose further to a record $283.7 billion by September 2026. Foreign direct investment rose 12.2% to $13.1 billion in 2025, with non-real-estate FDI of $10.7 billion the highest in a decade and cumulative inflows since 2003 exceeding $292 billion. The investment framework strengthened again in June 2026 with Law No. 7582, which introduced competitive tax treatment for regional headquarters, overseas trading and financial-services exports, and Fitch affirmed Turkey's BB- rating with a stable outlook in July 2026.

Turkey's main structural challenge is bringing inflation down durably while managing the economy's sensitivity to energy prices, both of which were tested by the regional conflict that began with the strikes on Iran on 28 February 2026. The policy response showed considerable resilience: the central bank drew on record reserves of $210 billion to steady the lira, tightened liquidity and held its policy rate at 37% until an October cut to 36%, and gross reserves recovered from $155 billion in late March to $188.2 billion by late August, standing at $162.2 billion in late October. Annual inflation eased to 29.77% in October from 32.6% in May, and the government targets single-digit inflation by 2029, while the current account deficit remains moderate at 2.3% of GDP on an annualised basis. Rising domestic gas output from the Black Sea Sakarya field, and steady progress on renewables and efficiency, reduce energy-import exposure over time and create investment opportunities in energy, while continued disinflation should gradually lower borrowing costs and strengthen the case for long-term investment.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Inflation and the disinflation path	Annual inflation was 29.77% in October 2026, still high though easing, and official end-2026 forecasts were revised up after the energy-price shock	Use lira-indexed or foreign-currency pricing where permitted and build cost escalation into contracts; continued disinflation toward the 2029 single-digit target would materially improve the operating environment
Energy-import dependence and regional conflict	Higher oil prices since the February 2026 Iran conflict have widened the trade and current account deficits, with the government assuming a $71 billion energy import bill this year	Model energy-price scenarios in project economics; domestic Sakarya gas, renewables and efficiency investment reduce exposure and are themselves attractive opportunities

Issue	Potential Impact	Possible Mitigation
Exchange-rate movements	The central bank manages a gradual depreciation of the lira and used reserves to maintain stability during the March 2026 market stress	Apply standard hedging for local-currency exposure; export-oriented projects earning hard currency are naturally protected
Cost of local financing	The policy rate of 36% keeps lira borrowing costly, although rate cuts resumed in October 2026	Use foreign-currency or development-finance funding where appropriate, and position to benefit as local rates decline
Governance and policy predictability	Rating agencies cite past policy shifts and governance as constraints, while recognising low public debt, a resilient banking sector and sustained access to external finance	Use the investor protections of Law No. 4875, bilateral investment treaties, ICSID arbitration and the Istanbul Financial Center's choice-of-law provisions; Law No. 7582 adds project-level tax certainty
Scope of the EU Customs Union	The 1996 Customs Union covers industrial goods but not services, public procurement or most agriculture, and the EU has not yet mandated formal modernisation talks	Technical talks are advancing case by case and EU–Turkey trade reached a record $233 billion; structure EU-bound manufacturing to use existing tariff-free access
FDI flows sensitive to global conditions	Total FDI fell 31% to $4.2 billion in H1 2026, mainly because of one-off investment liquidations, while new equity capital fell only 6%	Long-term investors can enter at attractive valuations, supported by the new Law No. 7582 incentives and a stable base of European investors

INVESTOR RISK NOTE

Turkey's risk profile reflects a large, diversified economy with deep industrial capacity, record export performance and a strong record of absorbing external shocks. The economic programme has kept monetary policy tight, the policy rate at 36% remains well above inflation, and the central bank's use of reserves during the March 2026 regional shock, followed by a substantial rebuilding of those reserves, demonstrates the credibility of its toolkit. Fitch's July 2026 affirmation at BB- with a stable outlook recognises low government debt, a resilient banking sector and continued market access. The principal considerations for investors are the pace of disinflation and the sensitivity of the external accounts to energy prices; both can be managed through contract indexation, currency hedging and energy-price scenario planning. Investors in export-oriented manufacturing, energy and services are best placed to benefit from Turkey's cost competitiveness and its expanding tax incentives.

MARKET ACCESS

Turkey has been in a Customs Union with the European Union since 1996, giving tariff-free access for industrial goods to the EU single market, and bilateral EU–Turkey trade has reached a record $233 billion. It is a founding member of the WTO and has an extensive network of free trade agreements, including a 2021 agreement with the UK that is being upgraded through an enhanced FTA, where five negotiating rounds have been held and 11 chapters closed by mid-2026. Its main export markets in 2025 were Germany (8.1%), the UK (6.1%), the US (6.0%), Italy (4.8%) and Iraq (4.5%). Bridging Europe, the Middle East and Central Asia, Turkey is the western land gateway of the Middle Corridor and the northern end of Iraq's $17 billion Development Road, positioning it as a growing transit hub between the Gulf, Asia and Europe.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic of Türkiye (President Recep Tayyip Erdoğan)	Sets overall economic, foreign and investment policy, including the Powerhouse for Investments programme launched in April 2026	Primary reference point for Turkey's strategic direction and major projects
Presidency Investment Office (Invest in Türkiye)	National investment promotion agency reporting to the Presidency and coordinating the new One-Stop Office model	Standard first point of contact for market entry, incentives and site selection

Actor	Why It Matters	Waverley Engagement Angle
Central Bank of the Republic of Türkiye	Sets monetary policy and manages reserves and the lira; central to the disinflation programme	Key reference for currency, interest-rate and financing outlook
Ministry of Treasury and Finance (Mehmet Şimşek)	Leads the economic programme, the Medium-Term Programme and tax policy, including Law No. 7582	Essential for understanding the policy framework and tax incentives
Ministry of Trade (Ömer Bolat)	Leads trade policy, the EU Customs Union modernisation agenda and FTA negotiations, including with the UK	Relevant for market access, export strategy and trade agreements
Ministry of Industry and Technology	Administers investment incentive certificates, Organised Industrial Zones and technology development zones	Key counterpart for manufacturing and R&D incentives
Ministry of Energy and Natural Resources	Oversees energy security, the Sakarya gas field expansion and the renewable-energy programme	Essential partner for energy-sector investment
Istanbul Financial Center	Dedicated financial centre with long-dated tax incentives and its own one-stop coordination	Preferred base for financial-services, treasury and regional headquarters activity

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Foreign Economic Relations Board (DEİK) runs bilateral business councils with partner countries, including the United Kingdom, and is the main channel for structured government–business dialogue. The International Investors Association (YASED) represents foreign investors and publishes regular FDI analysis, while the Union of Chambers and Commodity Exchanges of Turkey (TOBB) and the Turkish Exporters Assembly (TİM) provide access to domestic companies and sector associations. The British Chamber of Commerce of Turkey supports UK firms in market. The EBRD, World Bank Group and other development finance institutions maintain substantial Turkish programmes in energy, infrastructure and private-sector finance, and Invest in Türkiye organises sector-focused investor events and outreach.

INVESTOR PROFILE BEST SUITED

Turkey suits investors seeking scale, an established industrial base and a platform for regional reach: export-oriented manufacturers, notably in automotive, machinery, chemicals and electronics, benefiting from Customs Union access to the EU and from free-zone and industrial-zone incentives; companies establishing regional headquarters, treasury or trading operations under Law No. 7582 and the Istanbul Financial Center; energy investors in renewables, gas and efficiency; and technology and defence-industry partners drawn by a deep engineering talent pool. Logistics and infrastructure investors can position for the Development Road and Middle Corridor, while long-term investors with hard-currency revenues are best placed to manage inflation and currency movements during the disinflation period.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest in Türkiye early
Open dialogue with the Presidency Investment Office to identify the incentive package, location and permits best suited to the project.

STEP 2: Assess eligibility under Law No. 7582 and the Istanbul Financial Center
Evaluate whether regional headquarters, trading or financial-services activities qualify for the new 95–100% tax deductions and associated incentives.

STEP 3: Secure an investment incentive certificate
Apply through the Ministry of Industry and Technology for regional, strategic or project-based incentives, and compare free-zone and Organised Industrial Zone options.

STEP 4: Build inflation, currency and energy-price scenarios into planning
Use indexation, hedging and energy-cost sensitivity analysis to protect returns while disinflation continues.

STEP 5: Use business networks and development finance
Work through DEİK business councils, YASED and the British Chamber of Commerce of Turkey, and explore co-financing with the EBRD and other development finance institutions.